Portfolio Commentary

Twelve Months to October 16, 2026

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Data as of October 16, 2026

Abstract

The portfolio returned 13.9% over the twelve months to October 16, 2026, trailing the S&P/TSX 60's 21.9% by 8.0 percentage points. Roughly three-quarters of the shortfall came from stock selection rather than sector positioning, concentrated in Constellation Software, Brookfield Corporation and Cameco. With a beta of 1.19, the portfolio would normally be expected to outperform in a strongly rising market; that it lagged instead confirms the losses were stock-specific. Downside risk is moderate: one-day 99% Value at Risk is $11,430 (2.25% of the portfolio), and the model passes its backtest.

1 Performance

Table 1 summarizes the period. Volatility and tracking error are annualized from daily returns; the Sharpe ratio assumes a 2.3% risk-free rate.

Table 1: Performance summary, October 15, 2025 to October 16, 2026

Measure	Portfolio	S&P/TSX 60
Total return	13.9%	21.9%
Active return	−8.0 pts	
Volatility (annualized)	15.8%	
Tracking error	5.4%	
Beta	1.19	1.00
Sharpe ratio	0.74	
Information ratio	−1.48	
Maximum drawdown	−10.4%	

A beta above one means the portfolio moves more than the market. In a year when the index rose 21.9%, that sensitivity alone should have added to returns, so the shortfall cannot be explained by market exposure (Figure 1). The negative information ratio of −1.48 shows the active risk taken was not rewarded.

*Hypothetical model portfolio of 17 Canadian large-cap stocks, built as a student analytics project. Not investment advice.

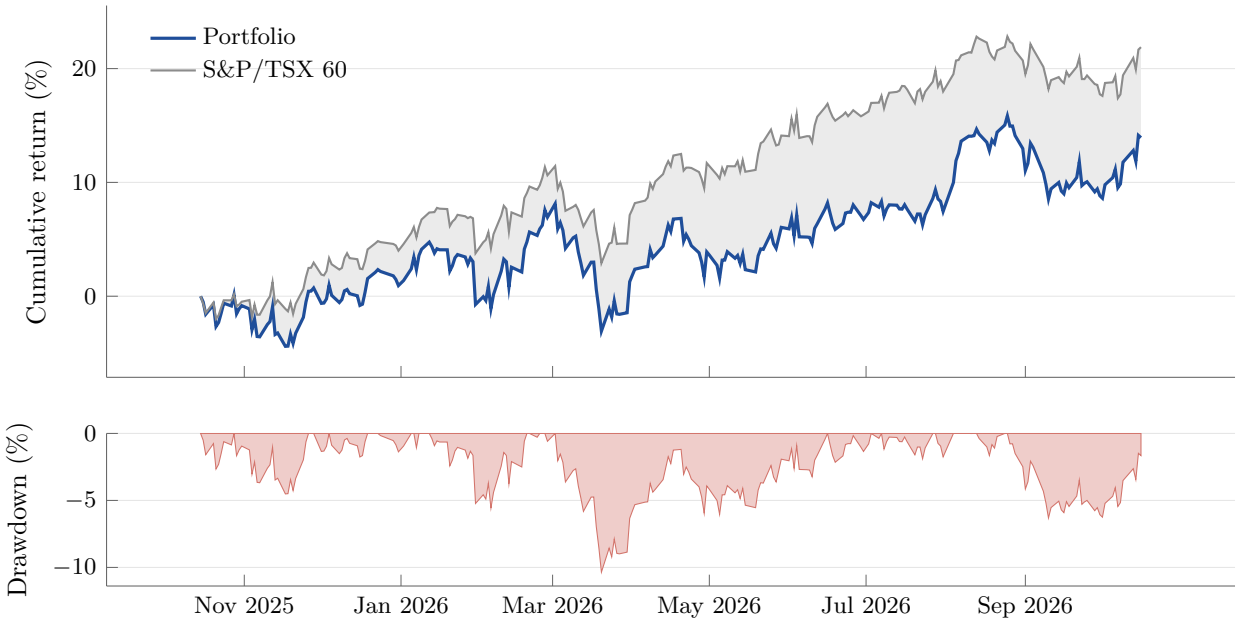


Figure 1: Top: cumulative total return, with the gap to the benchmark shaded. Bottom: portfolio drawdown from its previous high.

2 Attribution

Brinson-Hood-Beebower attribution sums to −6.3 points over the period (Table 2). This differs from the −8.0-point compounded shortfall because daily effects are added rather than compounded; each day's effects reconcile exactly to that day's active return. Figure 2 shows how each sector moved the total.

Table 2: Brinson attribution, sum of daily effects

Effect	Points	Interpretation
Selection	−4.7	Holdings lagged the benchmark's stocks within sectors
Allocation	−1.9	Sector over- and underweights cost a little
Interaction	+0.3	Negligible
Total	−6.3	

Stock selection was the main drag. In Energy (−2.6 points), Cameco lagged (−1.0) and not owning Suncor, which outperformed, cost a further 1.2. In Financials (−2.2 points), Brookfield Corporation lagged (−1.5) and not owning Bank of Nova Scotia cost 0.7. The single largest detractor was Constellation Software (−2.5): the portfolio held a meaningful overweight in a stock that trailed the benchmark, which also drove most of Information Technology's negative allocation and interaction effects.

Sector positioning was a smaller cost. The 12-point underweight in Financials cost 0.8 as the sector outperformed, and the overweights in Industrials (−0.8) and Information Technology (−0.7) were in sectors that lagged.

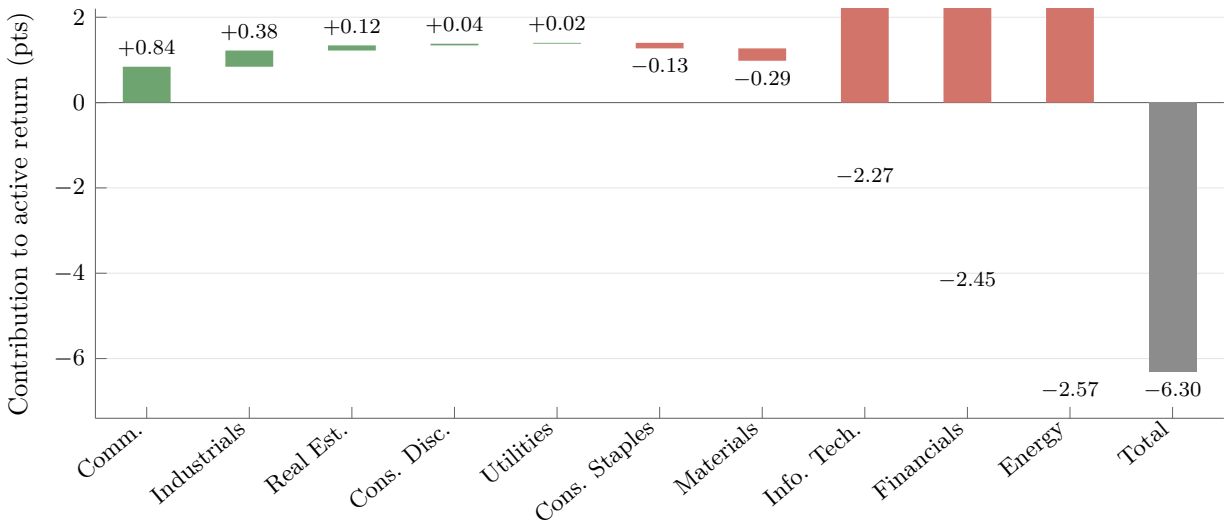


Figure 2: Each sector's contribution to active return (sum of daily Brinson effects). Green steps added return, red steps subtracted it, and the grey bar is the total. Sector values are rounded.

What worked. Not owning telecoms added 0.8 as Communication Services lagged. Within Industrials, avoiding WSP Global (+0.6) and Thomson Reuters (+0.3) added 0.7 of selection. Canadian Natural Resources (+0.7) and Manulife (+0.5) were the strongest active contributors among holdings.

3 Positioning

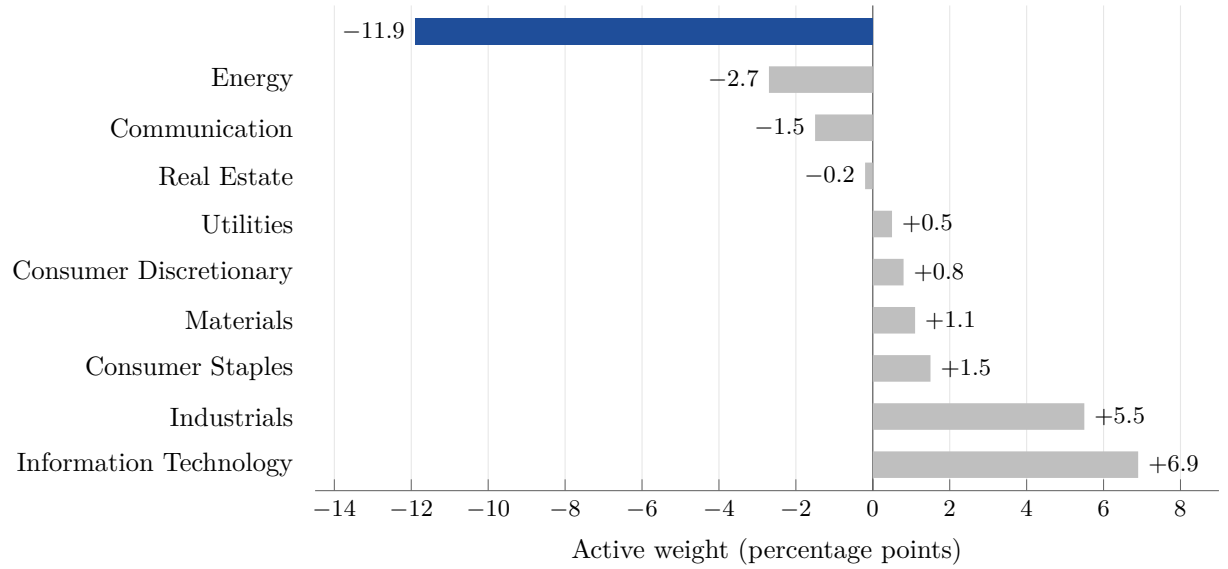


Figure 3: Active sector weights: portfolio minus S&P/TSX 60, as of October 16, 2026. The largest bet is an 11.9-point underweight in Financials.

The portfolio is a deliberate bet against the index's concentration in banks and insurers, funded by overweights in technology and industrials, and it holds no telecoms or real estate (Figure 3).

This year's attribution suggests the sector mix matters less than the stocks chosen to fill it, so the review priority is the investment case for the three largest detractors rather than the sector weights.

4 Risk

On a portfolio value of $508,815, one-day 99% historical Value at Risk is $11,430 (2.25%): on 99 trading days in 100, the loss should not exceed this amount. Parametric VaR is similar at $12,132 (2.38%). Expected shortfall, the average loss on the worst 1% of days, is $18,892 (3.71%), or 1.65 times VaR, well above the roughly 1.15 a normal distribution implies. The worst days are therefore much worse than the VaR threshold suggests.

The model held up in testing (Figure 4). Over the last 250 trading days, each estimated using only the prior 500 days, the loss exceeded VaR once against 2.5 expected. That places the model in the Basel green zone, and the Kupiec test ($p = 0.28$) finds no evidence of miscalibration.

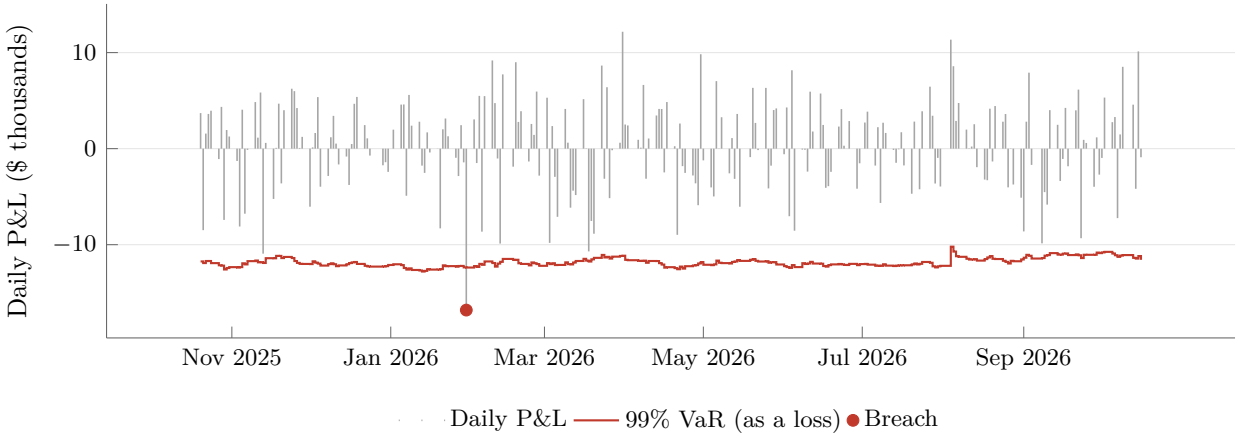


Figure 4: VaR backtest over the last 250 trading days. Each day's VaR uses only the prior 500 days; a breach is a day whose loss exceeded VaR.

Table 3: Historical stress scenarios applied to current holdings

Scenario	Window	Portfolio (%)	Portfolio ($000)	S&P/TSX 60 (%)
COVID crash	Feb 19 – Mar 23, 2020	−30.2	−153.6	−35.4
2022 selloff	Apr 4 – Oct 12, 2022	−18.4	−93.6	−16.8

Replayed on today's holdings (Table 3), the portfolio would have lost 5.2 points less than the benchmark in the 2020 crash, helped by its underweights in banks and energy, but 1.6 points more in 2022, when rising rates hit technology and energy rallied. It is better protected in a broad panic than in a rate-driven rotation out of growth stocks.

5 Data and Methodology

Returns use dividend-adjusted closing prices, and the portfolio holds fixed share counts from October 15, 2025. The benchmark is rebuilt from iShares XIU's published holdings by backing out implied share counts, which avoids the look-ahead bias of applying end-of-period weights historically; it matched XIU's actual return within 0.04 points over the period.

Attribution follows Brinson, Hood and Beebower, using previous-day weights. For each sector s, with portfolio and benchmark weights w_s^p and w_s^b, sector returns R_s^p and R_s^b, and total benchmark return R^b:

$$\begin{aligned}
\text{Allocation}_s &= (w_s^p - w_s^b)\,(R_s^b - R^b),\\
\text{Selection}_s &= w_s^b\,(R_s^p - R_s^b),\\
\text{Interaction}_s &= (w_s^p - w_s^b)\,(R_s^p - R_s^b).
\end{aligned}$$

Value at Risk replays 500 days of historical returns against current positions; expected shortfall averages the losses beyond it. Stress windows are detected from data as XIU's largest peak-to-trough decline within each year.

Known limitations: the benchmark applies current index members to the whole period; implied share counts are fixed while the real index rebalances quarterly; multi-day attribution effects are summed rather than geometrically linked; and the risk-free rate is an approximate average of Canadian 3-month Treasury bill yields.